

Write your name here

Surname

Other names

Pearson Edexcel

Level 3 GCE

Centre Number

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Candidate Number

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Economics B

Advanced

Paper 2: Competing in the global economy

Predicted Paper — 2026

Time: 2 hours

Paper Reference

9EB0/02

You do not need any other materials.

Total Marks

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided – *there may be more space than you need.*

Information

- The total mark for this paper is **100**.
- The marks for **each** question are shown in brackets – *use this as a guide as to how much time to spend on each question.*
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions.

SECTION A

Read the following extracts (A to C) before answering Question 1.

Write your answers in the spaces provided.

Extract A

Germany — selected macroeconomic indicators, 2023

Indicator	Value
GDP (current prices, € trillion)	4.12
Exports of goods and services (€ trillion)	1.93
Imports of goods and services (€ trillion)	1.71
Current account balance (% of GDP)	+5.9%
Real GDP growth rate	−0.3%
Gross fixed capital formation (% of GDP)	20.8%
Unemployment rate	3.0%
Inflation (HICP, annual average)	5.9%

(Source: adapted from Destatis, Deutsche Bundesbank, 2024)

Extract B

Volkswagen under pressure in a shifting global market

Volkswagen (VW), Europe's largest car manufacturer and a flagship of German industry, reported a 2% fall in global deliveries in 2024, driven largely by weaker sales in China — its most profitable market for more than two decades. Once dominant, European brands now hold only 15% of the Chinese EV market, as domestic rivals such as BYD and NIO have captured share with cheaper, technologically advanced vehicles. 5

The firm has announced a restructuring involving the closure of at least three German factories and the loss of up to 35,000 jobs. Unit labour costs in Germany are roughly 40% above those in Spain and more than double those in Central European EU countries. High energy prices, triggered by the 2022 energy shock, have worsened VW's cost disadvantage. 10

The CEO has emphasised that the firm's future depends on accelerating the transition to electric vehicles, improving software capability, and deepening partnerships with Chinese technology firms. Critics argue that German carmakers have been slow to innovate and that the business model is structurally exposed. 15

(Source: adapted from VW confronts existential reset © handelsblatt.com 2024)

Extract C

Germany unveils €100bn infrastructure fund

In March 2025, the German parliament approved a constitutional amendment loosening the country's strict 'debt brake' fiscal rule and creating a €100 billion special fund for infrastructure investment over ten years. Priorities include rail electrification, 5G rollout, green-hydrogen networks, and modernisation of Germany's ageing transport system.

Supporters argue that Germany's public investment has been persistently weak — gross fixed capital formation as a share of GDP has lagged behind France, the US, and most Nordic economies for more than a decade. Chronic underinvestment in infrastructure is blamed for deteriorating transport reliability and, increasingly, the loss of competitiveness relative to rival manufacturing economies. 5

Opponents warn that higher public borrowing will raise interest rates across the eurozone, crowd out private investment, and leave future taxpayers with a heavier debt burden. Independent economists estimate that the fiscal multiplier for infrastructure investment typically lies between 1.4 and 2.1 in the medium term, but that returns depend critically on the quality of project selection. 10

(Source: adapted from Germany bets big on infrastructure © reuters.com 2025)

(a) Using the data from Extract A, calculate the value of Germany's trade balance in goods and services in 2023. You are advised to show your working. (4)

(c) Using data from Extract A, explain one reason why Germany may be described as an export-led economy. **(4)**

(d) Analyse why *Volkswagen*'s loss of market share in China poses a significant risk to the German economy.

(8)

(10)

(g) Assess the likely macroeconomic impact of Germany's €100 billion infrastructure fund. (Extract C)
(12)

(h) Discuss the view that the loss of competitiveness shown in Extract B can only be addressed by structural supply-side reform rather than by demand-side policy. (12)

(Total for Question 1 = 60 marks)

TOTAL FOR SECTION A = 60 MARKS

SECTION B

Read the following extract (D) before answering Question 2.

Write your answer in the space provided.

Extract D

Economic development and sustainability indicators, 2023

Country	GDP per capita (US\$ PPP)	HDI (rank)	Ineq.-adj. HDI	Ecological footprint (gha)	Gross nat. savings (% GDP)
Ethiopia	2,812	0.497 (176)	0.372	1.1	33.1
India	9,183	0.644 (134)	0.475	1.2	30.2
Indonesia	14,687	0.713 (114)	0.584	1.7	36.5
Brazil	17,827	0.760 (89)	0.581	2.8	17.4
Germany	66,132	0.950 (7)	0.891	4.7	26.1

(Source: adapted from UNDP HDR 2023/24, World Bank, Global Footprint Network)

2 Using Extract D, evaluate the view that rapid economic growth in developing economies is incompatible with genuine economic development.

(20)

Handwriting practice lines consisting of 30 horizontal dashed lines.

(Total for Question 2 = 20 marks)
TOTAL FOR SECTION B = 20 MARKS

SECTION C

Read the following extracts (E and F) before answering Question 3.

Write your answer in the space provided.

Extract E

The age of industrial policy returns

For much of the 1990s and 2000s, industrial policy — where governments target specific sectors with subsidies, tax credits and procurement preferences — was dismissed by mainstream economists as politically captured and economically inefficient. Since 2020, it has returned with force. The US Inflation Reduction Act (IRA) of 2022 committed around \$369 billion to clean-energy subsidies. The EU Green Deal Industrial Plan, the UK's Advanced Manufacturing Plan, India's Production Linked Incentive scheme, and Japan's semiconductor subsidies all reflect a similar turn. 5

The return of industrial policy is driven by climate-transition needs, concerns about supply-chain resilience exposed by the COVID-19 pandemic, and geopolitical rivalry with China. The World Trade Organization has recorded a sharp rise in trade-distorting measures: more than 3,000 new interventions per year since 2020, compared with around 600 annually in 2010. 10

Critics warn that a global subsidy race risks misallocating capital, retaliation spirals, and the erosion of a rules-based trading system. Supporters argue that climate and security externalities justify correcting market failures and that 'picking winners' may be necessary when private finance alone cannot deliver transformative investment. 15

(Source: adapted from *The new industrial policy* © economist.com 2024)

Extract F

TSMC's global manufacturing expansion

Taiwan Semiconductor Manufacturing Company (TSMC) produces around 55% of all semiconductors globally and more than 90% of the most advanced chips (sub-5nm). The concentration of leading-edge production on a single island, 150 km from mainland China, has become a pressing concern for major economies reliant on semiconductors for defence, AI and consumer electronics. 5

Under pressure from both geopolitical risk and generous subsidies, TSMC has committed to the largest overseas expansion in its history: a \$65 billion investment in Arizona (supported by \$6.6 billion of US CHIPS Act funding), a €10 billion fab in Dresden (with €5 billion of EU support), and a ¥1.4 trillion facility in Kumamoto, Japan (with around ¥900 billion of Japanese government subsidies). 10

However, TSMC executives have publicly stated that overseas fabs cost 50% more to operate than the firm's Taiwanese operations, that leading-edge process development will remain in Taiwan, and that the global expansion is driven primarily by customer and government pressure rather than economic logic. TSMC has signalled that the subsidies are necessary, but not sufficient, to justify the investments. 15

(Source: adapted from *TSMC's trillion-dollar pivot* © ft.com 2024)

3 Evaluate the view that the return of industrial policy will ultimately benefit multinational firms such as TSMC more than the economies providing the subsidies. (20)

Handwriting practice lines consisting of 30 horizontal dashed lines.

(Total for Question 3 = 20 marks)
TOTAL FOR SECTION C = 20 MARKS
TOTAL FOR PAPER = 100 MARKS